Rainbow Children's Medicare Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 September 2026) · NSE: RAINBOW · BSE: 543524 · Report prepared 6 Nov 2026 · Continuity update to the Q1-2027 report

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

1. Snapshot

What the business does: Rainbow runs India's largest chain of children's hospitals (newborn and child intensive care, child specialties, transplants) alongside "BirthRight" maternity and fertility (IVF) care. It uses a hub-and-spoke layout: a big flagship hospital in a city fed by smaller units nearby. Most patients pay cash or through private insurance, and most doctors are full-time staff, which is unusual in India.

Measure (consolidated)	Value	What it means in plain words
Market cap	₹12,652 cr	The market's price tag on the whole company. Share ≈ ₹1,244.
P/E	~50x	You pay about ₹50 for ₹1 of yearly profit (Screener basis). A premium growth price.
Q2 FY27 revenue	₹548 cr	July-Sept 2026 sales, up 23%. Slower than Q1's 33%, but in a quarter with almost no monsoon illness season.
Q2 FY27 EBITDA	₹170 cr · 31% margin	Operating profit, up 14%. Margin back to 31% from Q1's 28.6%, but still below last year's level, so costs rose faster than sales.
Q2 FY27 net profit	₹83.9 cr	Up 11%. Profit keeps growing at about half the pace of sales.
H1 FY27	₹1,018 cr / ₹146 cr	Half-year sales up 28% and profit up 13%.
Cash	₹543 cr	Cash, deposits and funds, down from ₹613 cr after ₹82 cr of capex this quarter. No net debt; expansion paid from its own pocket.

2. Concall coverage

Quarter	Call date	Transcript read?
Q4 FY22 → Q4 FY26 (18 calls)	May 2022 → May 2026	Carried forward from the Q4-2026 and Q1-2027 reports
Q1 FY27 (prior report's boundary)	31 Jul 2026	Carried forward from the Q1-2027 report
Q2 FY27 (Jul-Sep 2026)	2 Nov 2026	Newly deep-read in full ★

Only the Q2 FY27 call was read in full this quarter; the four-year backstory comes from the prior reports. Screener lists 20 calls and all 20 downloaded.

★ Latest concall highlights: Q2 FY27 (2 Nov 2026)

- **Growth held up without the season.** Revenue +23%, EBITDA +14%, profit +11%. Outpatients +19%, deliveries +20%, inpatients +15%. Revenue per occupied bed rose 15%, helped by more maternity work, IVF (now about 5% of revenue) and shorter stays. Management says the usual monsoon rush of sick kids barely came this year.
- **Two more hospitals opened.** The acquired 70-bed Nellore hospital and the new 50-bed Guntur hospital started work this quarter. Andhra Pradesh also gave it 2 acres in Amaravati for a 150-bed children's hospital, built in two phases.
- **Ramp-ups are landing.** Rajahmundry and Mahadevapura (Bengaluru) are at operating breakeven. Electronic City, Bengaluru is "fast nearing" it. Mature hospitals run above 50% occupancy, and management says 60% is the practical ceiling.
- **Guidance.** Margin floor of 25-26% on the older pre-Ind AS accounting basis, with only about 0.5-1 point of pressure when lots of beds open. Revenue growth guide is "high-teens", worded a little lower than the "about 20%" of earlier calls, even though H1 ran at 28%.
- **Tone:** confident, more corporate. A new CFO joined, a new hospital IT system is live at the flagship, and there's talk of a big push into north India over three to five years.

Business mix & capacity. Almost all domestic; overseas patients were about 2-3% of revenue in FY26 (not updated on this call). Payer mix this quarter: about 63% cash, 37% insurance; government schemes under 1%. Total beds about 2,600, with about 1,050 in the build pipeline: Indore (Q3 FY27), Malad Mumbai (Q1 FY28), Coimbatore and Gurugram Sector 56 (Q3 FY28), Gurugram Sector 44 hub (Q1 FY29), Pune and Bengaluru Seegehalli (H2 FY29). Group occupancy wasn't given as one number; mature hospitals are above 50%, and the new ones are still well below.

★ Since our last report

Builds on the Q1-2027 report (boundary call 31 Jul 2026). Prior verdicts: **Durable trigger: YES** · **Management consistent: YES**.

Prior read	What we said then	What the new call shows	Movement
Trigger: YES	New beds filling; Q1 +33%	Q2 +23% without seasonal help; two more break-evens	Confirmed
Consistency: YES	Same story for four years; Q1 beat the 20% aim	Story unchanged; project dates repeated with no slips	Confirmed
Margin back to 24-25% pre-Ind AS by year-end	Q1 at 28.6% post-Ind AS; flagged as slipping	Q2 at 31% post-Ind AS; floor now stated as 25-26% pre-Ind AS	Improving
Electronic City breakeven "in two to three months"	Was 15-month guide, then extended	"Fast nearing" breakeven, not there yet	Slipping (mildly)
Indore opening Q3 FY27	Dated	Reconfirmed for Q3	On-track
Nellore and Guntur	Deals announced	Both operating	Delivered
Profit lagging sales	Profit +16% vs sales +33%	Profit +11% vs sales +23%	Unchanged

Verdict change this quarter: both unchanged. The margin worry from last quarter eased, and the new hospitals opened on time. The one thing that didn't improve is how slowly profit grows compared with sales.

★ 3. Earning-trigger thesis

Rainbow's driver is filling the beds it built over the last two years, then repeating the same hub-and-spoke playbook in bigger cities. Mature hospitals are above 50% occupancy against a 60% ceiling, and the younger ones are far below that, so there's a lot of room to grow from beds already paid for. Q2 showed this can work even without the monsoon rush: volumes grew high-teens and revenue per bed jumped on a richer mix. The catch hasn't changed. New hospitals lose money for one to two years, and the pipeline keeps adding new ones, so reported profit trails sales.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Occupancy ramp	New hospitals break even in 12-24 months	Rajahmundry and Mahadevapura at breakeven; mature units >50%	Now to FY28	Strong	↑ two more break-evens
Bed expansion	~5,000 beds; ~1,050 under build	Nellore, Guntur opened; Amaravati land added	FY27-29	Strong, self-funded	unchanged, on schedule
Case mix / IVF	Revenue per bed +7-8% normally	+15% this quarter; IVF ~5% of revenue	Ongoing	Moderate	↑ better than guided
New regions (Mumbai, NCR, north)	3-5 year push north	Malad under build; NCR hub Q1 FY29	FY28+	Unproven	unchanged
Margin holding	25-26% pre-Ind AS floor	31% post-Ind AS in Q2, up from 28.6%	FY27	Moderate	↑ recovering

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
FY22 (IPO)	1,000+ beds in five years; margins above 25% pre-Ind AS	About 780 beds in two years plus acquisitions; margin floor held	Delivered
FY24	Steady volume growth	Weak season, flat profit, openly explained	Partly
FY25-FY26	Bounce back; new beds to contribute	Revenue +17% then +12%; Q4 FY26 +24%	Delivered (slow start)
May 2026	~20% growth in FY27 under new CEO	H1 +28%	Delivered so far
Jul 2026	Nellore and Guntur in a couple of months	Both opened in Q2	Delivered
Jul 2026	Electronic City breakeven in 2-3 months	"Fast nearing"	Partly
Jul 2026	Margin back by year-end	Q2 recovered to 31%; full year to come	On-track

Narrative drift. Very little. It's the same children's and maternity story with full-time doctors, being scaled up across more cities. The growth guide is now worded as "high-teens" rather than "about 20%", which reads as caution while H1 runs well above both. On the call management again said project delays shouldn't exceed two quarters, and named the Chennai delay instead of hiding it. That's the kind of candour that earned the YES in the first place.

5. Bottom line: two verdicts

Durable earning trigger? → YES vs last quarter: unchanged

Q2 confirmed the trigger from a different angle. Q1 showed the new beds filling. Q2 showed growth holding up even when the seasonal illness rush didn't come, and two more young hospitals reached breakeven. About 1,050 beds are under construction with dates attached, and it's all funded from cash. The weak spot is the same as last time: profit grew 11% while sales grew 23%, because each wave of new hospitals costs money first. The trigger holds as long as the break-evens keep arriving roughly on schedule.

Management consistent? → YES vs last quarter: unchanged

The promises due this quarter were mostly kept. Two hospitals opened as said, Indore is still on for Q3, the margin bounced back toward its usual range, and project dates were restated without slips. The misses are small: Electronic City is still a little short of breakeven after the "two to three months" line in July. Management also tends to undersell, giving a high-teens growth guide while delivering high-twenties. That isn't enough to move a steady four-year record.

Sources: Rainbow Children's Medicare Ltd Q2 FY27 earnings-call transcript (call 2 Nov 2026, filed 6 Nov 2026), via Screener.in, read in full. Earlier calls carried forward from the Q4-2026 and Q1-2027 editions of this tracker. Screener.in financials and shareholding. Figures are management's consolidated numbers as stated on the call; guidance items are targets, not results. This is not investment advice. Do your own due diligence.